

with overall investment objectives. Best execution is determined more on decisions made pre-trade than post-trade. Most analysts are very good Monday morning quarterbacks. However, investors need a quality coach who can make and execute decisions under pressure with unknown conditions.

Post-trade analysis, on the other hand, does not consist of making any type of trading decision (either pre-trade or intraday). Post-trade analysis is used to determine whether the pre-trade models give accurate and reasonable expectations, and whether pre-trade and intraday decisions are consistent with the overall investment objectives of the fund. In other words, it is the report card of execution performance.

Post-trade analysis consists of two parts: measuring costs and evaluating performance. All too often, however, there is confusion regarding the meaning of these parts. For example, comparison of the execution price to the VWAP price over the day is not a trading cost—it is a proxy for performance. Comparison to the day’s closing price is not a cost—it is a proxy for tracking error. And, comparison of execution price to the opening price on the day or the market price at time of order entry is a cost to the fund and does not give insight into the performance of the trade.

Post-trade analysis needs to provide a measurement of cost, and evaluation of performance at the broker, trader, and algorithm level. When appropriate, the post-trade report should provide universe comparisons, categorization breakdowns (large/small orders, adverse/favorable price movement, high/low volatility, market up/down, etc.) and trend analysis.

Measuring/Forecasting

A cost measure is an “ex-post” or “after the fact” measure, and is determined via a statistical model. It is always a single value and can be either positive (less favorable) or negative (savings). It is computed directly from price data. A cost forecast, on the other hand, occurs “ex-ante” or “prior to trading.” It is an estimated value comprised of a distribution with an expected mean (cost) and standard deviation (timing risk).

The average or mean trading cost component is comprised of market impact and price appreciation. The forecasted market impact estimate will always be positive and indicate less favorable transaction prices. The price appreciation component, on the other hand, could be zero (e.g., no expectation of price movement), positive, indicating adverse price movement and less favorable expected transaction prices, or negative, indicating favorable